

Warsaw, December 13, 2022

Decision

DKE.523.21.2021

Based on Article 105 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2021, item 735, as amended), Article 160 sections 1 and 2 of the Act of May 10, 2018, on the Protection of Personal Data (Journal of Laws of 2019, item 1781) in connection with Article 12 points 1-2 and Article 22 of the Act of August 29, 1997, on the Protection of Personal Data (Journal of Laws of 2016, item 922, as amended) and Article 57 section 1 points a) and h) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (Journal of Laws of the EU L 119 of 04.05.2016, p. 1, with amendments published in Journal of Laws of the EU L 127 of 23.05.2018, p. 2 and Journal of Laws of the EU L 74 of 04.03.2021, p. 35), after conducting administrative proceedings regarding the complaint of Ms. J. Z. (residing in N.), concerning the processing of her personal data by C. S.A. (formerly G. S.A.) based in W. at ul. (...), the President of the Personal Data Protection Office terminates the proceedings.

REASONING

Factual Background

A complaint was submitted to the General Inspector for Personal Data Protection - currently the President of the Personal Data Protection Office, hereinafter referred to as "the President of UODO," by Ms. J. Z., residing in N. (hereinafter referred to as "the Complainant") regarding the processing of her personal data by G. S.A. - currently C. S.A. based in W. at ul. (...) (KRS (...)), hereinafter referred to as "the Company." This complaint was supplemented by the Complainant with letters dated January 9, 2017, January 31, 2017, and January 18, 2018. In the complaint, the Complainant accused the Company of violating the principles of personal data protection through the extensively described persistent harassment via phone calls, sending text messages, sending information electronically, and by traditional mail for the purpose of collecting debts arising from agreements previously entered into by her with banks. In connection with the above, the Complainant requested the restoration of a lawful state through an administrative decision by ceasing the unlawful actions of the Company in her case.

The President of UODO, as a result of the conducted administrative proceedings, established the following factual state:

The Company conducts activities related to the collection of its own receivables, collection on behalf of others, and collection of debt portfolios as part of managing securitized receivables of investment funds.

During the proceedings, the President of UODO received explanations from the Company (letters dated: February 8, 2017, July 3, 2017, March 5, 2018, April 24, 2018, November 25, 2019, June 16, 2020, April 29, 2021, March 15, 2022, and March 18, 2022) supported by attached evidence. From these explanations, it follows that the Company is currently not processing the Complainant's personal data for collection purposes. However, previously, the Company processed the Complainant's personal data as an entity entrusted with the processing of personal data for the purpose of pursuing the receivables mentioned below, on behalf of the following entities:

O. Non-Standardized Securitization Investment Fund Closed (hereinafter referred to as "Fund O"). Below are the findings of the President of UODO regarding this receivable:

The source of the receivable was an agreement dated November 25, 2009, which the Complainant entered into with E. S.A. Branch in Poland.

On September 23, 2011, E. S.A. Branch in Poland was removed from the National Court Register (evidence KRS: (...)).

On September 19, 2011, P. S.A. was entered into the National Court Register, which was established as a result of the transfer of all assets of E. S.A. Branch in Poland under Article 42a of the Banking Law (evidence: (...)).

On February 27, 2013, a merger occurred between P. S.A. (the acquired company) and R. S.A. (the

acquiring company) through the transfer of all assets of the acquired company to the acquiring company.

Based on the assignment agreement dated October 8, 2014, R. S.A. sold the receivable of the Complainant, arising from the aforementioned agreement, to Fund O managed by O Investment Fund Company S.A. (hereinafter "Company O."), represented by G. S.A., currently: C. S.A. (evidence: copy of the agreement dated October 8, 2014).

In connection with the collection of this receivable, the Company processed the Complainant's personal data based on the management agreement for a part of the investment portfolio of O. covering securitized receivables dated December 12, 2013, concluded between Fund O managed by Company O. and the Company (evidence: copy of the agreement dated December 12, 2013).

Due to the submission of a statement by Company O. on June 5, 2017, terminating the agreement dated December 12, 2013, the Company ceased to be the entity the Fund and the Company ceased processing the personal data of the Complainant for the purpose of collecting this claim.

P. Bank S.A. (formerly I. Bank S.A.)

Below are the findings of the President of the Personal Data Protection Office (UODO) regarding this claim:

The source of the claim was the loan agreement no. (...), which the Complainant entered into with I. S.A. on January 4, 2007.

The Fund e. managed by Towarzystwo O. based on the portfolio sub-participation agreement for lost receivables dated October 28, 2013, concluded between I. Bank S.A. and Fund e., acquired from I. Bank S.A. receivables, including the receivable of the Complainant arising from loan agreement no. (...) (evidence: copy of the agreement dated October 28, 2013).

The Company processed personal data in connection with the servicing of securitized receivables under the terms specified in the agreement on the management of securitized receivables dated February 13, 2013, concluded between Towarzystwo O. and the Company (evidence: copy of the agreement dated February 13, 2013).

The portfolio sub-participation agreement for lost receivables dated October 28, 2013, was concluded for a fixed term (48 months), therefore, due to its expiration (from October 29, 2017), the Company no longer processes the personal data of the Complainant for the purpose of pursuing this claim.

U. Non-Standardized Securitization Investment Fund Closed (hereinafter referred to as "Fund U.")

Below are the findings of the President of UODO regarding this claim:

The findings regarding this claim were also made by the President of UODO based on explanations submitted in letters dated June 16, 2020, and May 6, 2021, by Towarzystwo Funduszy Inwestycyjnych B. S.A. based in B. (hereinafter "Towarzystwo B.") managing Fund U.

The source of the claim is the złoty loan agreement no. (...), which the Complainant entered into with S. Bank S.A. on August 21, 2008.

S. Bank S.A., based on the receivables transfer agreement dated February 9, 2018, sold the Complainant's receivable arising from loan agreement no. (...) dated August 21, 2008, to G. Non-Standardized Securitization Investment Fund Closed (referred to as "Fund G.") managed by S. Towarzystwo Funduszy Inwestycyjnych S.A. (hereinafter "Towarzystwo S.") (evidence: copy of the agreement dated February 9, 2018).

Fund G., managed by Towarzystwo S., based on the conditional receivables transfer agreement dated February 13, 2018, sold the Complainant's receivable to Fund U. also managed by Towarzystwo S. (evidence: copy of the agreement dated February 13, 2018).

Towarzystwo S., even before purchasing the Complainant's receivable, on December 28, 2016, concluded an agreement on the management of the investment portfolio including the securitized receivables of Fund U. In this agreement, Towarzystwo S. commissioned the Company to manage the investment portfolio of Fund U., including the Securitized Receivables acquired by Fund U. for this Portfolio, as well as legal services in the area of pursuing receivables through court proceedings or in enforcement proceedings, in bankruptcy or restructuring proceedings (evidence: copy of the agreement dated December 28, 2016).

Towarzystwo S., based on the personal data processing entrustment agreement dated May 25, 2018, entrusted the Company with the processing of personal data of debtors whose receivables are included in the receivables packages (evidence: copy of the agreement dated May 25, 2018). There was a change in the management company for both Fund U. and Fund G. This change occurred due to the decision of the Financial Supervision Authority dated (...) regarding the revocation of Towarzystwo S.'s license to conduct activities, including the management of the aforementioned Funds. Based on Article 68 of the Act of May 27, 2004 on investment funds and management of alternative investment funds, the management of the aforementioned Funds was carried out by the Depository, which according to the list included in the aforementioned communication for the aforementioned Funds was (...) Bank S.A. based in Warsaw. The takeover of the management of the aforementioned Funds occurred on November 18, 2019, by Towarzystwo B. (evidence: communication regarding the takeover process of funds managed by S. S.A. dated November 21, 2019).

Based on the agreement dated December 5, 2019, on the management of the investment portfolio including the securitized receivables of Fund U., concluded between Towarzystwo B. and the Company with the participation of Fund U., Towarzystwo B. commissioned and the Company accepted the commission for the paid management of the investment portfolio of the Fund including the securitized receivables acquired by the Fund for this portfolio, as well as the legal service in the area of pursuing receivables through court proceedings or in enforcement proceedings (evidence: copy of the agreement dated December 5, 2019).

Fund U., as the administrator, represented by Towarzystwo B. based on the personal data processing entrustment agreement also dated December 5, 2019, entrusted the Company with the processing of personal data of the debtors of Fund U., including the data of the Complainant (evidence: copy of the agreement dated December 5, 2019).

As of (...) January 2021, there was a change of name from Towarzystwo Funduszy Inwestycyjnych B. to W. Towarzystwo Funduszy Inwestycyjnych S.A. (evidence KRS: (...)).

Based on the agreement concluded on April 30, 2021, between

****Agreement between W. Company and the Company regarding the termination of the investment portfolio management agreement encompassing the securitized receivables of Fund U.****

As of May 3, 2021, the agreement dated December 5, 2019, concerning the management of the investment portfolio encompassing the securitized receivables of Fund U. has been terminated by mutual agreement of the Parties. Consequently, as of that date, the Company has ceased the collection activities conducted on behalf of Fund U., and thus the Company has stopped processing the Complainant's data for the purpose of pursuing this receivable (evidence: copy of the agreement dated April 30, 2021).

****Legal Justification****

After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office has considered the following.

As of May 25, 2018, the provisions of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781), hereinafter referred to as "u.o.d.o.", have come into effect. According to Article 160, paragraphs 1-3 of the u.o.d.o., proceedings conducted by the General Inspector for Personal Data Protection, initiated and not concluded before the entry into force of this Act, are conducted by the President of the Personal Data Protection Office based on the Act of August 29, 1997, on the protection of personal data (Journal of Laws of 2016, item 922, as amended), in accordance with the principles specified in the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2021, item 735, as amended). At the same time, actions taken in proceedings initiated and not concluded before the entry into force of the provisions of the u.o.d.o. remain effective.

As of May 25, 2018, the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (OJ EU L 119 of 04.05.2016, p.

1 and OJ EU L 127 of 23.05.2018, p. 2), hereinafter referred to as "Regulation 2016/679", is also applicable. Pursuant to Article 57, paragraph 1 of Regulation 2016/679, without prejudice to other tasks specified under this regulation, each supervisory authority on its territory monitors and enforces the application of this regulation (lit. a) and conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (lit. h).

The President of the Personal Data Protection Office, when issuing an administrative decision, is obliged to resolve based on the factual state existing at the time of issuing that decision. As doctrine states, "the public administration authority assesses the factual state of the case according to the moment of issuing the administrative decision. This rule also applies to the assessment of the legal state of the case, which means that the public administration authority issues an administrative decision based on the legal provisions in force at the time of its issuance (...). The resolution in administrative proceedings consists of applying the applicable law to the established factual state of the administrative case. In this way, the public administration authority realizes the purpose of administrative proceedings, which is to actualize the applicable legal norm in the area of administrative-legal relations when such relations require it" (Commentary on the Act of June 14, 1960, the Code of Administrative Procedure, M. Jaśkowska, A. Wróbel, Lex, el/2012). The Supreme Administrative Court – in its judgment of May 7, 2008, in case file I OSK 761/07 stated that: "when examining the legality of the processing of personal data, the GODO is obliged to determine whether, at the date of issuing the resolution in the matter, the data of a specific entity are being processed and whether this is done in accordance with the law."

According to Article 105 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2021, item 735, as amended), hereinafter referred to as "k.p.a.", when the proceedings have become entirely or partially moot for any reason, the public administration authority issues a decision to discontinue the proceedings accordingly in whole or in part. In the judgment of the Provincial Administrative Court in Warsaw dated April 6, 2018 (VII SA/Wa 1463/17, with which the President of UODO agrees), the Court stated that "(...) according to Article 61 § 1 of the k.p.a., administrative proceedings are initiated at the request of a party or ex officio. According to the content of the mentioned provision, the request for the initiation of administrative proceedings defines the subject of that proceeding; in case of doubts: the specification of the request is the responsibility of the party, not the evaluative sphere of the administrative authority. Therefore, in the situation of initiating proceedings on the basis of a complaint (at the request of a party), the type of case and its subject is determined by the content of the submitted request; the initiated administrative proceedings at the request do not mean that the administrative authority has discretion, furthermore - this authority is not authorized to change this application. In the established case law of administrative courts, based on the above-mentioned provisions, it is accepted that in the situation of initiating proceedings at the request of a party, the content of the submitted request determines the type of case that is the subject of the proceedings, and also designates the relevant norm of substantive or procedural law that will be relevant for determining the subjective and objective scope of the proceedings. The administrative authority is bound by this request, as only and exclusively the party submitting the application defines the subject of its request and disposes of it. In other words, this request (application) of the party defines the boundaries of the administrative case to be resolved in the given administrative proceedings. In the decision of March 4, 2014...

Case No. II OW 157/13, Supreme Administrative Court

It was established that in the case of initiating proceedings at the request of a party, only and exclusively that party defines the subject of its request, and in the event of doubts regarding the scope or subject of the request, its specification is the responsibility of the party, not the evaluative sphere of the administrative authority.

Referring the above-mentioned provisions and case law to the factual state established in this case, it should be stated that the Complainant, in the content of the complaint, accused the Company of violating the principles of personal data protection by conducting persistent and, in her opinion,

unlawful debt collection activities, and made the restoration of a lawful state by ceasing the aforementioned actions of the Company the subject of her request. Therefore, the decisive significance for the resolution that was made in this case is the fact that at present, the Company does not process the personal data of the Complainant for the purpose of conducting debt collection activities. In the absence of the processing of the Complainant's personal data by the Company for the purpose described in the complaint, it is not possible to address the request of the Complainant presented in the content of the complaint, and the President of the Personal Data Protection Office is obliged to recognize this proceeding as moot and consequently to terminate it based on Article 105 § 1 of the Administrative Procedure Code.

The wording of the indicated provision leaves no doubt that in the event of establishing the mootness of the proceedings, the authority conducting the proceedings is obliged to terminate it. At the same time, the literature on the subject indicates that the mootness of administrative proceedings, as stated in Article 105 § 1 of the Administrative Procedure Code, means that one of the elements of the material legal relationship is missing, and therefore it is not possible to issue a decision resolving the matter by determining its essence. The premise for terminating the proceedings may exist even before the initiation of the proceedings, which will only be revealed in the ongoing proceedings, and it may also arise during the course of the proceedings, thus in a case already pending before the administrative authority (B. Adamiak, J. Borkowski "Administrative Procedure Code. Commentary," 14th Edition, C.H. Beck Publishing, Warsaw 2016, p. 491). The same position was taken by the Provincial Administrative Court in Krakow in the judgment of February 27, 2008, in the case with reference No. III SA/Kr 762/2007, in which it stated that "the proceedings become moot when one of the elements of the material legal relationship is missing, which results in the inability to resolve the matter by determining its essence."

In this factual and legal state, the President of the Personal Data Protection Office decided as stated in the operative part of this decision.

Instruction

Based on Article 127 § 3 of the Administrative Procedure Code, the party has the right to submit a request for reconsideration of the case within 14 days from the date of its delivery to the party. If the party does not wish to exercise the right to submit a request for reconsideration of the case, it has the right to file a complaint against the decision to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery to the party. The complaint is submitted through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00-93 Warsaw). The fee for the complaint is 200 zlotys. The party has the right to apply for legal aid, including exemption from court costs.

Print Article

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2022-12-13

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2023-05-30 12:31:09

Last modified by:

Edyta Madziar

2023-07-21 12:02:12